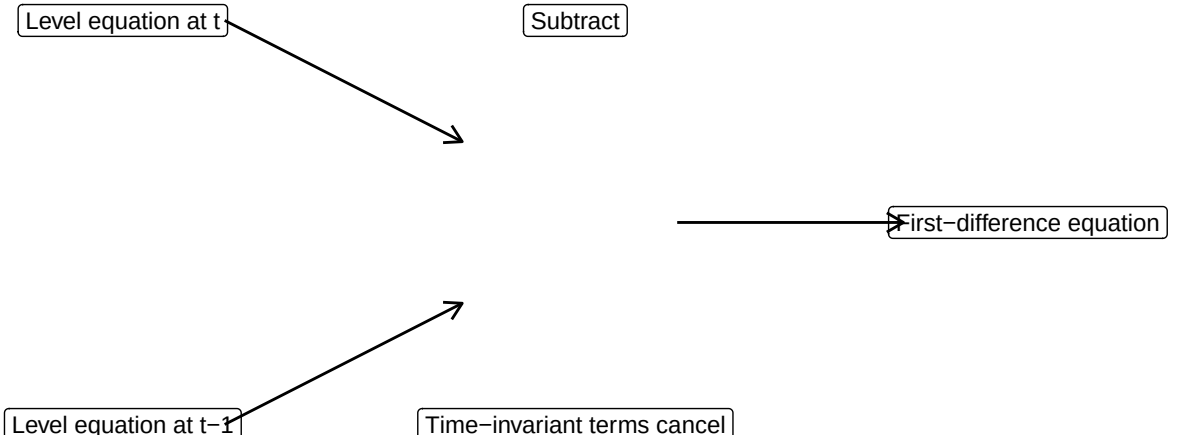
Level equation at t
Subtract
First−difference equation
Level equation at t−1
Time−invariant terms cancel